

Equity Group: 1H21 Earnings Note

Equity Group's 1H21 net earnings rose **97.7%** y/y to KES **17.94B** driven by sustained growth in operating income and a **63.7%** y/y drop in loan loss provisions to KES **2.91B**. This was above our expectations on the back of improving economic conditions.

Key highlights

- **Increased growth in DRC:** Banque Commercial Du Congo (BCDC) bank in Congo reported a **447%** y/y surge in PAT to **KES 1.6B** on the back of improving macro-economic conditions. Going forward, DRC is expected to be a key driver for growth. The subsidiary's ROaE of 12.6% in 1H21 (versus 7.3% in 1H21) still remains below the group's average but is expected to improve. We, however, remain concerned about the high cost to income ratio (75.8% in 1H21) and we expect costs to remain elevated in the near term.
- **Interest income growth buoyed by an increase in the loan book:** Interest income surged 30.3% y/y to KES 42.75B on the back of a **28.9%** y/y rise in loans and advances to customers as economic conditions improve. In 2H21, the yield on loans marginally increased to 11.8% from11.7% in 2H20. We expect the yield on loans to improve driven by increased yield on loans to the SME and MSME sectors.
- **42.0% y/y increase in interest expense to KES 11.59B:** This was mainly driven by a surge in customer deposits which increased by **50.7%** y/y to **KES 819.68B**,
- **Asset quality:** Gross NPLs increased 36.5% y/y to KES 62.20B as the tough economic environment continued to negatively affect businesses. The increase in NPLs was mainly on account of a rise in NPLs in the SME and MSME sectors. Meanwhile, the Group's NPL ratio remained unchanged at 10.7% mainly on account of a 29% increase in the loan book.

  The loan loss provisions declined 63.7% y/y to KES 2.91B as economic conditions are expected to improve. We remain concerned about the rising NPLs.

Outlook

Increased operating income and reduced provisions are likely to drive profitability growth in 2H21.

17th August 2021

Current price: 51.00

Target price: 50.60

Upside: -0.78%

52 Week Low: KES 28.10

52 Week High: KES 51.00



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Table I : Financial Statement Summary

Income Statement(KES Millions)	30-Jun-21	30-Jun-20	% change
Interest Income	42,747	32,796	30.3%
Interest Expense	(11,592)	(8,161)	42.0%
Net Interest Income	**31,155**	**24,635**	26.5%
Non Interest Income	20,767	14,400	44.2%
Total Operating Income	51,922	39,035	33.0%
Total Operating Expenses	28,091	27,058	3.8%
Loan Loss Provision Expense	2,912	8,022	-63.7%
Operating Expense	(28,091)	(27,058)	3.8%
Profit before tax	**23,831**	**11,977**	99.0%
Tax	(5,887)	(2,900)	103.0%
Profit for the period	**17,944**	**9,077**	**97.7%**
Basic EPS	4.65	2.39	94.6%
Gross NPL	62,196	45,550	36.5%

Balance Sheet (KES Millions)	30-Jun-21	30-Jun-20	% change
Cash with CBK.	22,077	15,866	39.1%
Govt Securities - HTM.	12,804	14,454	-11.4%
Govt Securities - Trading & AFS.	189,776	166,790	13.8%
Loans and Advances to Banks.	157,601	44,524	254.0%
Loans and Advances to Customers.	504,849	391,633	28.9%
Total Assets	**1,119,737**	**746,469**	**50.0%**
Deposits from Customers.	819,684	543,894	50.7%
Deposits with other Banks.	602	-	-
Other Money Market Deposits	3,698	343	977.7%
Borrowed funds	98,603	57,230	72.3%
Balances due Intergroup	-	90	-100.0%
Total Liabilities	**964,664**	**623,109**	**54.8%**
Total Shareholder Equity	**155,073**	**123,360**	**25.7%**

Source: Company filings, AIB-AXYS



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